

Approved as to
form only:

D. White

Date: April 3, 2013

REAL ESTATE PURCHASE AGREEMENT

This Real Estate Purchase Agreement is made this _____ day of _____, 2013, between W. E. Dinneen, Inc., a corporation organized under the laws of the State of Wyoming, having its principal office at 400 West 16th Street, Cheyenne, Wyoming 82001 ("Seller"), and the City of Cheyenne, a municipal corporation organized under the laws of the State of Wyoming, having its principal office at 2101 O'Neil Avenue, Cheyenne, Wyoming 82001 ("Purchaser"). The Seller and Purchaser are individually referred to as a "Party" and collectively referred to as "Parties."

RECITALS

A. Seller is the owner of fee simple title to various parcels of real property generally located within Block 353, Original City, between Pioneer and Thomes Avenues and between 17th and 18th Streets, Cheyenne, Wyoming, legally described in Exhibit A, which is attached to and made a part of this Agreement by this reference. Said parcels of real property are hereinafter generally referred to as the "Land."

B. One of the parcels of real property described in Exhibit A (Parcel No. 1) is improved by a building (the "Building") and other improvements (collectively, with the Building, the "Improvements") including, but not limited to, all mechanical, plumbing, heating, ventilating, air-conditioning, electrical fixtures, equipment, and systems located in or on the Improvements. "Improvements" also includes the parking lots improvements which have been constructed upon the other parcels of real property described in Exhibit A (Parcels 2, 3, and 4).

C. With respect to the Land and the Improvements, Seller also owns certain service and maintenance contracts, equipment leases, and other contracts (collectively, the "Contracts"); certain permits, licenses, certificates of occupancy, and other rights granted by governmental agencies and entities (collectively, "Permits"); and certain warranties and guaranties (collectively, the "Warranties"). The Land, the Improvements, the Contracts, the Permits and the Warranties are hereinafter collectively referred to as the "Property."

D. Purchaser wishes to purchase the Property from Seller, and Seller is willing to sell the Property to Purchaser, subject to certain terms and conditions.

E. Seller and Purchaser wish to set forth in writing the terms of their agreement relating to the foregoing.

In consideration of the matters described above, and of the mutual benefits and obligations set forth in this Agreement, the Parties agree as follows:

SECTION ONE. RECITALS INCORPORATED

The recitals stated above are incorporated into and made a part of this Agreement.

SECTION TWO. SALE AND PURCHASE

Subject to the terms and conditions of this Agreement, Seller agrees to sell and convey the Property to Purchaser, and Purchaser agrees to purchase and accept the Property from Seller.

SECTION THREE. PURCHASE PRICE

The purchase price for the Property ("Purchase Price") shall be One Million, Eight Hundred Eighty-Six Thousand, and no/100's Dollars (\$1,886,000.00), payable in the form of a check drawn upon the accounts of the City of Cheyenne, issued by the City Treasurer of the City of Cheyenne, on the Closing Date.

SECTION FOUR. TITLE TO BE DELIVERED

Promptly after the Parties have executed and delivered this Agreement, Seller shall order, from a title insurance company or agency licensed to write title insurance in the State of Wyoming, ("Title Insurance Company") a commitment for an ALTA owner's title insurance policy (the "Commitment"), in which Title Insurance Company agrees to issue to Purchaser upon the recording of the conveyance documents, an ALTA owner's title insurance policy in the full amount of the Purchase Price, and legible copies of all documents referred to in the Commitment as affecting title to the Land (the "Title Documents"). Purchaser also may order, not later than thirty (30) days after its receipt of the Commitment and the Title Documents, from a registered land surveyor, a survey of the Land (the "Survey"), containing a certification addressed to Seller, Purchaser, Title Insurance Company and Purchaser's lender (if any), in a form acceptable to Purchaser and Purchaser's lender, if any, and locating all of the items shown on the Commitment as affecting title to the Land. (The Commitment, the Title Documents and any Survey timely ordered by Purchaser, are collectively called the "Title Evidence.")

Purchaser shall have sixty (60) days after its receipt of the Title Evidence to render objections to title in writing to Seller. Any matters not timely objected to by Purchaser shall be Permitted Exceptions. Seller shall have thirty (30) days after the date of timely notice of such objections to cause the same to be removed or satisfied. Seller agrees to use reasonable efforts promptly to satisfy any such objections. Seller shall satisfy on or before the Closing Date any objection to title which may be satisfied solely by the payment of money. If Seller shall fail to cause such objections to be removed or satisfied within that time, Purchaser may, at its sole discretion, either (a) terminate this Agreement by notice to Seller, in which event Seller and Purchaser shall execute a written termination of this Agreement and upon such termination

neither party shall have any further rights or obligations under this Agreement except for obligations which expressly are provided in this Agreement to survive a termination of this Agreement (the "Surviving Obligations"); or (b) accept title subject to such objections, in which event such objections shall be Permitted Exceptions.

SECTION FIVE. RIGHTS OF INSPECTION, TESTING, AND REVIEW

A. Seller shall make available to Purchaser, within ten (10) days after the mutual execution of this Agreement, complete and accurate copies of any and all notices, consents, approvals, plans, specifications, surveys, engineering studies, analyses, reports and analyses of soil borings, environmental studies (collectively, the "Seller's Environmental Reports"), leases and other documentation pertaining to the Property (whether prepared by Seller, Seller's agents or independent contractors, any federal, state, regional or local governmental authority or agency, or any other party), to the extent that Seller has the same in its possession or control, all of which shall remain the property of Seller unless and until the Closing occurs, and all of which shall be returned to Seller promptly upon any termination of this Agreement. Purchaser's obligation to return such items to Seller upon termination of this Agreement shall be a Surviving Obligation. Such documentation shall include but not be limited to the Contracts, Permits and, Warranties. If Purchaser does not wish Seller to assign any of the Contracts at Closing, Purchaser shall give Seller notice of such wish within thirty (30) days after its receipt of such Contract(s), in which case Seller shall terminate such Contract(s) included in Purchaser's notice at or prior to Closing.

B. Purchaser, its counsel, accountants, agents, contractors and other representatives shall have full and continuing access to the Property and Seller's records relating to the Property, from the date of this Agreement through May 31, 2013 (the "Contingency Date"), upon reasonable notice to Seller and any tenant or subtenant in possession of any part of the Property. Purchaser and its counsel, accountants, agents, contractors and other representatives also shall have the right, upon reasonable prior notice, to enter upon the Land at any time after the execution and delivery of this Agreement for inspecting, surveying, engineering, soil borings, performance of environmental tests and such other work as Purchaser shall consider appropriate; provided, however, that such work shall not include demolition or removal of the Improvements or any part of the Improvements. Purchaser shall hold Seller harmless from and fully indemnify Seller against any damage, claim, liability, or cause of action arising from or caused by the actions of Purchaser, its agents or representatives, upon the Land from the date of this Agreement through the Closing Date; provided, however, that Purchaser shall not be liable or be required to indemnify Seller against claims, liabilities, or causes of action arising from Purchaser's mere discovery of hazardous materials or a violation of environmental laws. The obligations in the preceding sentence shall be Surviving Obligations. Purchaser further shall have the right to make such inquiries of governmental agencies and utility companies, and such other sources of information relating to the Property, and to make such feasibility studies and analyses as it considers appropriate.

C. The review of documents under paragraph A., and the review of the Property under paragraph B., of this Section Five, are referred to as the "Inspections." Purchaser may elect, by notice to Seller on or before the Contingency Date, to terminate this Agreement as of a date not later than the Contingency Date if Purchaser is not satisfied with the results of the Inspections, in which event: this Agreement shall terminate; Seller and Purchaser shall execute a written termination of this Agreement; and upon such termination neither party shall have any further rights or obligations under this Agreement except for the Surviving Obligations.

SECTION SIX. CONTROL OF PROPERTY

Until the Closing Date and subject to Purchaser's indemnification obligations under Section Five, paragraph B, Seller shall have full responsibility and liability for any and all damages or injury of any kind whatsoever to the Property, to any person in, on, or about the Property, and to all personal property located on, removed from or related to the Property. If, prior to the Closing Date, the Property is materially damaged or becomes the subject of an action or threat of an action in condemnation or eminent domain, whether temporary or permanent, Seller promptly shall notify Purchaser of such damage, action or threat of action, and Purchaser, in its sole discretion, shall have the right to terminate this Agreement by notice to Seller within thirty (30) days after such notice by Seller to Purchaser, in which event Seller and Purchaser shall execute and deliver a written termination of this Agreement, and upon such termination neither party shall have any further rights or obligations under this Agreement, except for the Surviving Obligations. If Purchaser does not timely exercise its right of termination, any and all proceeds arising out of such damage or destruction, if the same be insured, or such eminent domain or taking, shall be assigned and paid to Purchaser on the Closing Date. From the date of this Agreement until the Closing Date, Seller shall keep the Property insured and maintained to an extent and in a manner not less than exists on the date of this Agreement, and shall not grant any easement, right-of-way, license, leasehold or other interest in or relating to the Property without Purchaser's prior written consent, which Purchaser may withhold in Purchaser's sole and absolute discretion.

SECTION SEVEN. REPRESENTATIONS OF SELLER

To induce Purchaser to enter into this Agreement and purchase the Property, Seller represents and warrants to Purchaser that:

- A. Seller is the owner of fee simple title to the Property.
- B. Seller has all requisite power and authority to enter into and perform the obligations of Seller under this Agreement.
- C. This Agreement has been executed and delivered on behalf of Seller.
- D. To the best of Seller's knowledge, there is no individual sewage treatment system on or serving the Property.

E. To the best of Seller's knowledge, the Land does not now contain any underground or above-ground storage tanks and, if any above-ground or underground tanks previously were located on the Land, Seller has provided to Purchaser any and all information available to Seller in connection with the installation, operation, and removal of such tanks.

F. Seller knows of no wells on the Land.

G. Seller has made available to Purchaser, or will make available to Purchaser as and when required by this Agreement, a correct and complete copy of each Contract and its amendments which will survive the Closing.

H. Seller has delivered to Purchaser, or will deliver to Purchaser as and when required by this Agreement, copies of all environmental reports and studies relating to the Property which are in Seller's possession or control.

I. No person is entitled to be in possession of all or any part of the Property pursuant to any lease or other agreement except pursuant to documents of which copies have been or will be delivered to Purchaser as and when required by this Agreement.

J. Seller has not entered into any other contract for the sale of the Property which is still in effect, and has not granted any right of first refusal or option to purchase the Property that is still in effect and could prevent the consummation of the transaction contemplated by this Agreement.

K. Seller is not a "foreign person," "foreign partnership," "foreign trust" or "foreign estate," as those terms are defined in 26 U.S.C.A. § 1445.

L. To the best of Seller's knowledge, there is no action, litigation, investigation, condemnation or proceeding of any kind pending or threatened against any portion of the Property.

M. To Seller's knowledge, except as set forth in Seller's Environmental Reports or any environmental reports that Purchaser has provided to Seller: (i) no toxic or hazardous substances or wastes, pollutants, or contaminants (including, but not limited to, asbestos, urea formaldehyde, the group of organic compounds known as polychlorinated biphenyls, petroleum products including gasoline, fuel oil, crude oil and various constituents of such products, and any hazardous substance as defined in any Environmental Law (collectively, "Hazardous Substances") have been generated, treated, stored, transferred from, released or disposed of, or otherwise placed, deposited in or located on the Property in violation of any Environmental Law, nor has any activity been undertaken on the Property that would cause or contribute to the Property becoming a treatment, storage or disposal facility within the meaning of any Environmental Law; (ii) there has been no discharge, release or threatened release of Hazardous Substances from the Property; (iii) there are no Hazardous Substances or conditions in or on the Property that may support a claim or cause of action under any Environmental Law; (iv) the

Property is not now, and to the best of Seller's knowledge never has been, used as landfill, dump or disposal site for Hazardous Substances; and (v) Seller has maintained all records required to be kept concerning the presence, location and quantity of asbestos containing materials, and presumed asbestos containing materials, in the Property and will deliver the same to Purchaser on or before closing. The term "Environmental Law" shall mean any and all federal, state and local laws, statutes, codes, ordinances, regulations, rules, policies, consent decrees, judicial orders, administrative orders or other requirements relating to the environment or to human health or safety associated with the environment, all as amended or modified from time to time.

N. The Land is not affected by airport zoning regulations.

SECTION EIGHT. PURCHASER'S CONDITIONS TO CLOSING

All the obligations of Purchaser under this Agreement are subject to fulfillment, or waiver in writing by Purchaser, on or before the Closing Date, of each of the following conditions:

A. Seller's representations and warranties in Section Seven above shall be correct as of the Closing Date, and Seller shall have performed all of Seller's obligations under this Agreement which are to be performed on or before the Closing Date.

B. Title to the Property shall be subject only to the Permitted Exceptions.

C. Purchaser has not terminated this Agreement, on or before the Contingency Date pursuant to Section Five, paragraph B.

D. Purchaser may acknowledge satisfaction or waiver of any of the foregoing conditions, by notice of satisfaction or waiver to Seller on or before the Closing Date. If Purchaser does not acknowledge the satisfaction of the foregoing conditions (or otherwise waive the same) on or before the Closing Date but the sale and purchase contemplated by this Agreement is closed, all such conditions conclusively shall be deemed to have been satisfied or waived on the Closing Date. Upon completion of the Closing, Purchaser shall have acquired the Property "as is," with all its faults, subject only to the representations of Seller set forth in Section Seven above.

SECTION NINE. CONDITIONS TO SELLER'S OBLIGATIONS

Seller's obligations under this Agreement to close the transaction contemplated by this Agreement are contingent upon Purchaser's performance of all of Purchaser's obligations under this Agreement which are to be performed on or before the Closing Date. If the conditions to Seller's obligations set forth in this Section Nine have not been satisfied, or waived by Seller, on or before May 31, 2013, Seller shall have the right, by notice to Purchaser given not later than May 31, 2013, to elect to terminate this Agreement, in which event Seller and Purchaser shall

execute a written termination of this Agreement, and upon such termination neither party shall have any further rights or obligations under this Agreement except for the Surviving Obligations.

SECTION TEN. CLOSING

Subject to the fulfillment or waiver of the conditions of this Agreement, the Closing shall occur on June 15, 2013, or such other date as shall be agreed upon by Seller and Purchaser. The Closing shall be held at the offices of the Title Insurance Company, or such other place as Seller and Purchaser may mutually agree. Seller or Purchaser may close via an escrow arrangement with Title Insurance Company. Seller shall deliver possession of the Property to Purchaser, subject to the Permitted Exceptions, on the Closing Date.

SECTION ELEVEN. SELLER'S OBLIGATIONS AT CLOSING

On the Closing Date, Seller shall:

- A. Execute and deliver to Purchaser Seller's Limited Warranty Deed (the "Deed"), conveying to Purchaser marketable fee simple title to the Property subject only to the Permitted Exceptions.
- B. Execute and deliver to Purchaser an Affidavit Regarding Seller, certifying to Purchaser and Title Insurance Company as to the absence of any matters which may have an adverse effect on Purchaser's title to the Land.
- C. Cause the Title Insurance Company to agree, subject to payment of the premium for the same, to issue to Purchaser an ALTA Owner's Title Insurance Policy, or a suitably marked up copy of the Commitment, in the form and substance required under this Agreement.
- D. Execute and deliver to Purchaser an Assignment of Contracts, Permits, and Warranties conveying Seller's interest in the same to Purchaser.
- E. Execute and deliver a Designation Agreement providing IRS reporting information including, but not limited to, the Federal Taxpayer Identification Number of Seller.
- F. Deliver to Purchaser an affidavit confirming that Seller is not a "foreign person," "foreign corporation," "foreign partnership," "foreign trust," or "foreign estate," as those terms are used in 26 U.S.C.A. § 1445 (1986), as amended, and the regulations under that section.
- G. Execute and deliver any well disclosure certificate(s) required by law.
- H. Deliver to Purchaser such other documents (including but not limited to original copies of the documents described in Section Five, paragraph A, to the extent that such original copies are in the possession or control of Seller) as may be required by this Agreement, all in form satisfactory to Purchaser in its reasonable discretion.

SECTION TWELVE. PURCHASER'S OBLIGATIONS AT CLOSING

At Closing, and subject to the terms, conditions and provisions of this Agreement and the performance by Seller of its obligations as set forth in this Agreement, Purchaser shall deliver the Purchase Price to Seller pursuant to Section Three of this Agreement; and Purchaser shall execute and deliver such other documents as may be required by this Agreement, all in form satisfactory to Seller in its reasonable discretion.

SECTION THIRTEEN. CLOSING COSTS

Costs and expenses shall be paid as follows in connection with the sale and purchase of the Property.

A. Seller shall pay:

1. All past due property taxes and special assessments.
2. A pro rata portion of all current real-estate taxes and special assessments as provided in Section Fourteen below.
3. Title Insurance Company's charge for issuing the Commitment, and one-half of any closing fee charged by Title Insurance Company.
4. Seller's attorney's fees.
5. The cost of recording any document necessary to make title marketable.

B. Purchaser shall pay:

1. The recording fee for the Deed.
2. One-half of any closing fee, and all of any escrow or other fee charged by Title Insurance Company.
3. Purchaser's attorney's fees.
4. The costs of any survey ordered by Purchaser.

SECTION FOURTEEN. REAL-ESTATE TAXES AND SPECIAL ASSESSMENTS

Real-estate taxes and installments of special assessments due and payable in 2013 shall be prorated between Seller and Purchaser to the Date of Closing. Seller shall pay all real-estate taxes and installments of special assessments due and payable in prior years, and Purchaser shall pay all real-estate taxes and installments of special assessments due and payable in subsequent years.

SECTION FIFTEEN. BROKERAGE

Seller and Purchaser each represents and warrants to the other that it has not engaged the services of any broker in connection with the sale and purchase contemplated by this Agreement. Seller and Purchaser each agrees to indemnify and hold the other harmless from any claim (including reasonable expenses incurred in defending such claim) made by a broker, sales agent or similar party in connection with this transaction and arising from the contract or contact of the indemnifying party. The obligations in this Section Fifteen shall be Surviving Obligations.

SECTION SIXTEEN. REMEDIES

If Seller defaults in the performance of this Agreement and such default continues for thirty (30) days after notice from Purchaser to Seller specifying such default, Purchaser may cancel this Agreement by notice to Seller within thirty (30) days after expiration of the thirty day period. If Seller defaults in the performance of this Agreement and Purchaser does not cancel this Agreement, Seller acknowledges that the Property is unique, that Purchaser has expended substantial sums for planning, evaluation, testing and other activities in anticipation of Purchaser's intended use of the Property, and that money damages to Purchaser in the event of default by Seller are inadequate. Accordingly, Purchaser shall have the right, in addition to any other remedy available, to apply for and to receive from a court of competent jurisdiction equitable relief by way of restraining order, injunction or otherwise, prohibitory or mandatory, to prevent a breach of the terms of this Agreement, or by way of specific performance to enforce performance of the terms of this Agreement, or rescission. This right to equitable relief shall not be construed to be in lieu of or to preclude the right to seek a remedy at law. If Purchaser defaults in the performance of this Agreement, Seller may cancel this Agreement through judicial decree; or Seller may sue Purchaser for specific performance of this Agreement or for damages for breach of this Agreement, provided any such action is subject to the provisions of the Wyoming Governmental Claims Act, W.S. §§ 1-39-101 *et seq.* It is mutually understood and agreed, that notwithstanding the terms and conditions of this Agreement, the Purchaser's liability for any breach of this Agreement or for any claims, demands, causes of action, damages, injuries arising out of or related to this Agreement, shall not exceed the sum of Two Hundred Fifty Thousand Dollars (\$250,000.00), and that the Purchaser shall not be subjected to liability for any greater sum regardless of amendments to the Wyoming Governmental Claims Act which may become effective following the effective date of this Agreement. It is further mutually

SECTION EIGHTEEN. MISCELLANEOUS

If to Purchaser: City of Cheyenne
2101 O'Neil Avenue
Cheyenne, Wyoming 82001
Attn: Mayor of the City of Cheyenne

With copies to: Cheyenne City Clerk
Cheyenne City Attorney
2101 O'Neil Avenue
Cheyenne, Wyoming 82001

Any written notice given in a manner other than as provided in this paragraph D shall be deemed to have been given only upon actual receipt by the addressee.

E. Assignment. This Agreement may not be assigned by either party without the express written consent of the other party, except that (a) Seller may assign this Agreement as contemplated to any entity wholly owned by Seller and/or its members, upon written notice to Purchaser, accompanied by a copy of the document(s) effecting such transfer and evidencing that the assignee is wholly owned by Seller and/or its members or that such assignment is in connection with a tax-deferred exchange; and (b) Seller may assign its rights under this Agreement to Seller's exchange intermediary for the purpose of allowing Seller to effect a tax-deferred exchange of properties under Section 1031 of the Internal Revenue Code, and Purchaser agrees to cooperate at no additional cost or liability to Purchaser. No such assignment shall release Seller from any liability under this Agreement. Any other assignment of this Agreement by Seller shall require the prior written consent of Purchaser, which Purchaser may withhold in its sole and absolute discretion.

F. Invalidity. If for any reason any term or provision of this Agreement shall be declared void or unenforceable by any court of law or equity, it shall affect such particular term or provision of this Agreement only, and the balance of this Agreement shall remain in full force and effect.

G. Costs of Enforcement. If any action or proceeding is brought by Seller or Purchaser to interpret the provisions of this Agreement or to enforce such party's rights or remedies under this Agreement, the prevailing party shall be entitled to recover from the unsuccessful party in such action or proceeding, in addition to all other remedies, all costs incurred by the prevailing party in such action or proceeding, including reasonable attorney's fees, provided, however, that the City of Cheyenne may not be subjected to any liability related to or arising out of this Agreement in any amount in excess of Two Hundred Fifty Thousand Dollars (\$250,000.00), as provided in Section Sixteen, regardless of nature of the claims, demands, causes of action, or damages, including claims for attorney's fees, which may be asserted against the City of Cheyenne.

H. Complete Agreement. All understandings and agreements previously made between the Parties including, but not limited to, any letters, discussions, side agreements, or otherwise are merged into this Agreement, which alone fully and completely expresses the agreement between the Parties. This Agreement may be amended only by a writing executed by the Parties with the same formalities and in accordance with the same procedures of execution of

this Agreement. The Contingency Date specified herein, and the Closing Date specified herein may be extended or altered through the execution of a written amendment to this Agreement.

I. Counterparts. This Agreement may be executed in any number of counterparts, each of which shall constitute an original but all of which together shall constitute a single agreement.

The Parties have executed this Agreement as of the day and year first set forth above.

W.E. DINNEEN, INC.

By:

[Signature of Officer of Seller]

[Printed Name of Officer of Seller]

[Title of Officer of Seller]

CITY OF CHEYENNE, WYOMING

By:

Richard L. Kaysen, Mayor

(SEAL)

ATTEST:

Carol Intlekofer, City Clerk

EXHIBIT A

Parcel No. 1:

North 95 feet' of Lot 1, North 95 feet of East 3 feet of Lot 2, North 87 feet of West 51 feet of East 54 feet of Lot 2, West 12 feet of Lot 2, All of Lots 3 and 4, Block 353, Original City, Laramie County, Wyoming, consisting of approximately .69 acres. Commonly known as 405 West 18th Street, Cheyenne, Wyoming.

Parcel No. 2:

East 17 feet of North 76½ feet of Lot 7, North 76½ feet of lot 8, Block 353, Original City, Laramie County, Wyoming, consisting of approximately .15 acres. Commonly known as 1704 Pioneer Avenue, Cheyenne, Wyoming.

Parcel No. 3:

East 24 feet of Lot 6, West 22 feet of Lot 7, Block 353, Original City, Laramie County, Wyoming, consisting of approximately .14 acres. Commonly known as 410 West 17th Street, Cheyenne, Wyoming.

Parcel No. 4:

Lot 5, West 42 feet of Lot 6, Block 353, Original City, Laramie County, Wyoming, consisting of approximately .33 acres. Commonly known as 416 West 17th Street, Cheyenne, Wyoming.

